



Investor's Guide

B Corp certification in
investment organizations

Issue 2



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University of Zurich – Center for Sustainable Finance and Private Wealth

The Center for Sustainable Finance and Private Wealth (CSP) at the Department of Finance of the University of Zurich works at the intersection of scientific research, wealth holders, and investment professionals to empower investors to move private wealth towards sustainable development. We generate and share state-of-the-art knowledge on impact and sustainable investing, and train next generation and self-made investors, intermediaries, and financial institutions. By bridging science with action we aim to create a movement of informed, motivated, empowered investors who use all their forms of capital to contribute to a more just and equitable world.

EBS Universität – Impact Institute

The EBS Impact Institute unites EBS’ forces of sustainability-oriented research and teaching. The members of the EBS Impact Institute conduct interdisciplinary research on innovative and sustainable solutions to some of the world’s most pressing challenges. Our focus areas include social entrepreneurship, sustainable finance, corporate social responsibility, and sustainable supply chains. Blending insights from research and practice, we generate impact in close cooperation with our partners. Intending to drive positive change, the EBS Impact Institute is a pioneer for responsible and sustainable business.

B Lab Germany

B Lab Germany is an organization that operates as part of the global B Corp movement led by B Lab. As a non-profit organization that aims to promote and support businesses that prioritize social and environmental impact alongside profit, B Lab Germany specifically focuses on promoting and certifying B Corps within Germany. B Lab Germany often collaborates with other organizations, businesses, and governmental bodies to create a more inclusive and sustainable economy. It also provides resources, tools, and support to businesses interested in becoming B Corps or improving their social and environmental practices.

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Foreword

Benefit Corporations (B Corps) align purpose and profit. While pursuing entrepreneurial opportunities, B Corps look to preserve natural resources for future generations and aim to reduce inequality and poverty.

This *Investor’s Guide* is for impact-oriented wealth holders and investment organizations keen to explore the B Corp movement. Based on interviews with 18 B Corp certified investment firms from around the world, the report gives insights into the realm of how B Corp certification can transform finance organizations. We find that B Corp certification is a credible and independent assessment of purpose-driven investment organizations. Findings included show that a significant share of B Corp certified firms (29%) are looking to strategically transform the financial sector at large. However, the findings also suggest that, so far, few investment firms request certification from investee companies and therefore refrain from enacting change on a broader level.

Whether you are a family office or wealth holder looking to invest with certified B Corp organizations or an investment firm considering certification, this report

provides rare insights and summarizes practical takeaways.

Our sincere gratitude extends to all those who made this *Investor’s Guide* possible: the participating B Corp investors, B Lab Germany, the EBS Universität research team at the Impact Institute, and the Center for Sustainable Finance and Private Wealth at the Department of Finance of the University of Zurich.

Towards Impact,



Andrew Green
Executive Director
B Lab Germany



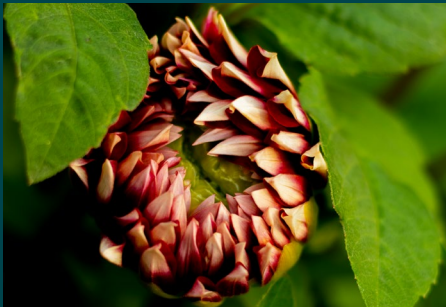
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B Corp has become a movement. Achieving the ‘Benefit Corporation’ (B Corp) certification allows any organization to pursue a value-driven business approach and transcend beyond profit maximization and financial extraction. Since 2006, over 8,100 organizations have been certified in 95 countries and across 161 industries (end of January 2024).

Executive summary



PROFILE:

There is a broad diversity in B Corp certified investment organizations

The B Corp certified firms interviewed for this report reflect diverse types of organizations, including private equity (36%), investment advisory (29%), and venture capital investors (14%). The degree of engagement among organizations differs: Half of certified organizations (50%) take a responsible engagement approach by pursuing simple certification, and another half (50%) actively engages with the B Corp network beyond certification. Among the group of more active investment organizations, 29% hope that certification could support transformational change in the financial sector at large.



MOTIVATION:

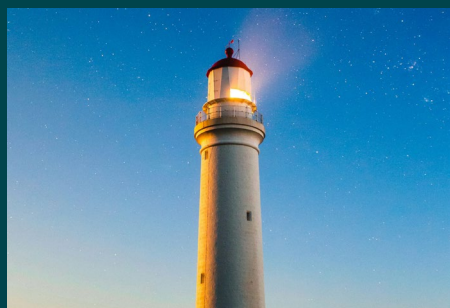
B Corp certified firms are driven by a desire to align values with investing

When looking to become certified, investment organizations are driven by a sense of responsibility to integrate social and environmental values beyond profit maximization. They also wish to be held accountable for their impact performance by an external and independent party. Interviewees report they are motivated by the idea of standing out in a competitive market or attracting talent and appealing to a younger workforce.



In finance, the total number of B Corps currently stands at 394.¹ Highlighting that B Corp certification extends beyond companies in the industrial sector, this *Investor's Guide* explores how certification has impacted investment organizations.

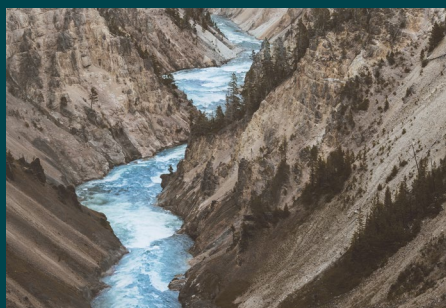
The report analyzes profiles, stories, and lessons learned directly from B Corp certified investment firms operating around the world. The takeaways from this research explore the impact of B Corp certification in the investing space, informing individual investors, family offices, regulators, and future B Corps.



PURPOSE:

B Corp serves as an assessment of an organization's impact strategy

Interviewed organizations generally use certification for an internal impact assessment. Some investment firms rely on the certification questionnaire to identify gaps in their impact strategy and due diligence process. Another advantage highlighted by interviewed professionals is that B Corp assessment results can lead to a shared mission of implementing responsibilities across teams and workstreams.



CHALLENGE:

Certification is a resource-intensive journey

When looking to become certified, investment organizations are confronted with a holistic and exhaustive assessment. To tackle this resource-intensive challenge, interviewed investment firms are hiring specialized staff and/or rely on support from the B Corp network to navigate potential hurdles.



LIMITATION:

There is limited influence on investment decisions and portfolio allocation

While B Corp certified firms generally appreciate B Corp status in their portfolio companies, they emphasize that, in most cases, B Corp certification would not influence their investment decisions. Although there are exceptions, this limitation suggests that certification is unlikely to change portfolio allocation.

The B Corp landscape



“The financial sector is less known to embrace B Corp certification; however, contrary to common belief, there are notable B Corps in finance.”

1.1

Introduction

Rising geopolitical tensions, economic uncertainties, and the lingering effects of a global pandemic shape our world today. While we grapple with the urgent realities of a climate crisis and the alarming loss of biodiversity, hope emerges from a maturing sustainability space. The accelerating global effort to achieve a better, more sustainable future for all nurtures our optimism.

In this context, the Benefit Corporation (B Corp) movement is a powerful example for supporting responsible ways of doing business. Since its inception in 2006, B Lab, the non-profit organization behind the movement, has certified more than 8,100 companies in 95 countries across 161 industries (end of January 2024).² Today B Corps around the world demonstrate that profitability can coexist with social and environmental responsibility.³

“I believe that we have to change this world of finance. We have to change the financial instruments because they are no longer suited to what we have to do.”

Co-Founder, Private Equity Fund

What is B Lab?

B Lab is the non-profit organization behind the B Corp movement. Founded in the United States in 2006, the organization offers an online evaluation tool for businesses wishing to assess their impact performance on the topics of governance, workers, community, environment, and customers (*figure 1.4*). Today, B Lab Global is an international network of nonprofits and sustainability consultancies that are funded by philanthropic grants. B Lab also earns revenues from certification fees.

What is a B Corp?

A Benefit Corporation, or B Corp, is a business entity that places emphasis on purpose as well as profit. The *B Impact Assessment*, in short BIA, is an evaluation of a firm’s approach to governance, workers, community, environment, and customers. To maintain B Corp status, firms undertake the BIA every three years, providing evidence from financial reports, employee policies, documentation on environmental initiatives, and more. The assessment results in a specific point value, which must aggregate to a minimum of 80 and maximum of 200 for successful certification. The outcome is a social and environmental performance evaluation, which is publicly shared.

Legal accountability: Certified B Corp companies generally have legal accountability when declaring the dual importance of purpose and profit. Specific legal requirements differ based on the organization’s legal entity type and the jurisdiction it operates in.

B Corp and the financial sector

Businesses like the apparel company Patagonia, the luxury brand Chloé, or ice cream maker Ben & Jerry’s, now part of Unilever, are among the most headline-grabbing B Corps. The financial sector is less known to embrace B Corp certification; however, contrary to common belief, there are notable B Corps in finance.

The first globally operating asset manager to achieve B Corp status in 2019 was Lombard Odier, which currently has US\$ 204 billion in assets under management (AuM).⁴ Other finance giants to follow since include the Australian asset manager First Sentier Investments with US\$ 223 billion in AuM,⁵ the Banque de Luxembourg with an AuM of US\$ 47 billion,⁶ and the British private bank Coutts with US\$ 42 billion in AuM.⁷ In total, 394 B Corps currently exist in the realm of finance⁸ and the majority constitutes of entities smaller than the examples listed above.

About this Guide

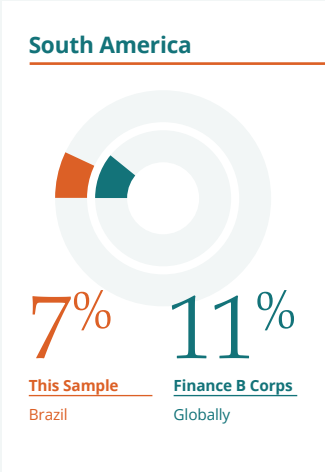
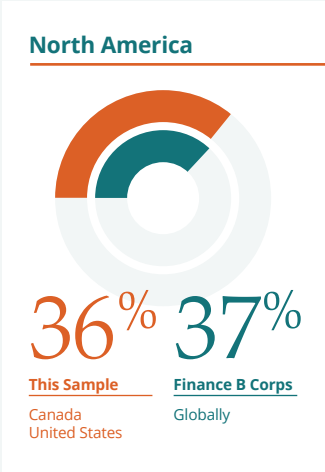
This report focuses on certified investment firms, including impact funds, family offices, and private banks. We explore the typical profile of a certified investment organization and what drives firms to become certified. We assess how certification affects investment activity and what challenges might occur during the process.

All findings included in the report are based on original research⁹ allowing for a rare opportunity to learn directly from successful certified B Corp investment organizations. Findings are based on qualitative data sourced by the EBS Universität in collaboration with the Center of Sustainable Finance and Private Wealth at the University of Zurich. In May 2023, 14 B Corp certified investment firms from around the world participated in semi-structured interviews for data collection. For the case study in Chapter 3.2, four additional B Corp investment organizations participated in interviews between February and March 2024. Interview participants were required to operate within the area of private wealth management and/or advisory and to have completed their B Corp certification after 2015.



FIGURE 1.1

Origin of certified investment firms



Source: 'Investor's Guide to B Corp: Certification in investment organizations', Center for Sustainable Finance and Private Wealth (CSP), Department of Finance at the University of Zurich

1.2 Profiles of B Corp investment firms

B Corp certified investment firms originate from around the world. The sample of interviewed organizations represented in this *Guide* matches the geographic distribution of all existing certified investment firms.

A global phenomenon

In this sample, the majority of certified firms (79%) is based in Europe and North America. Globally, the distribution of B Corps operating in finance is similar. The vast majority (77%) of certified finance organizations worldwide are located in Europe and North America. Certified firms from Asia-Pacific and Latin America represent 21% of the sample and 23% globally (figure 1.1).

Broad diversity in certified organization types

Within the sample, private equity firms represent the largest group (36%), followed by investment advisers (29%). Venture capital investors, family offices, private banks, and public equity investors combined make up 21% (figure 1.2).

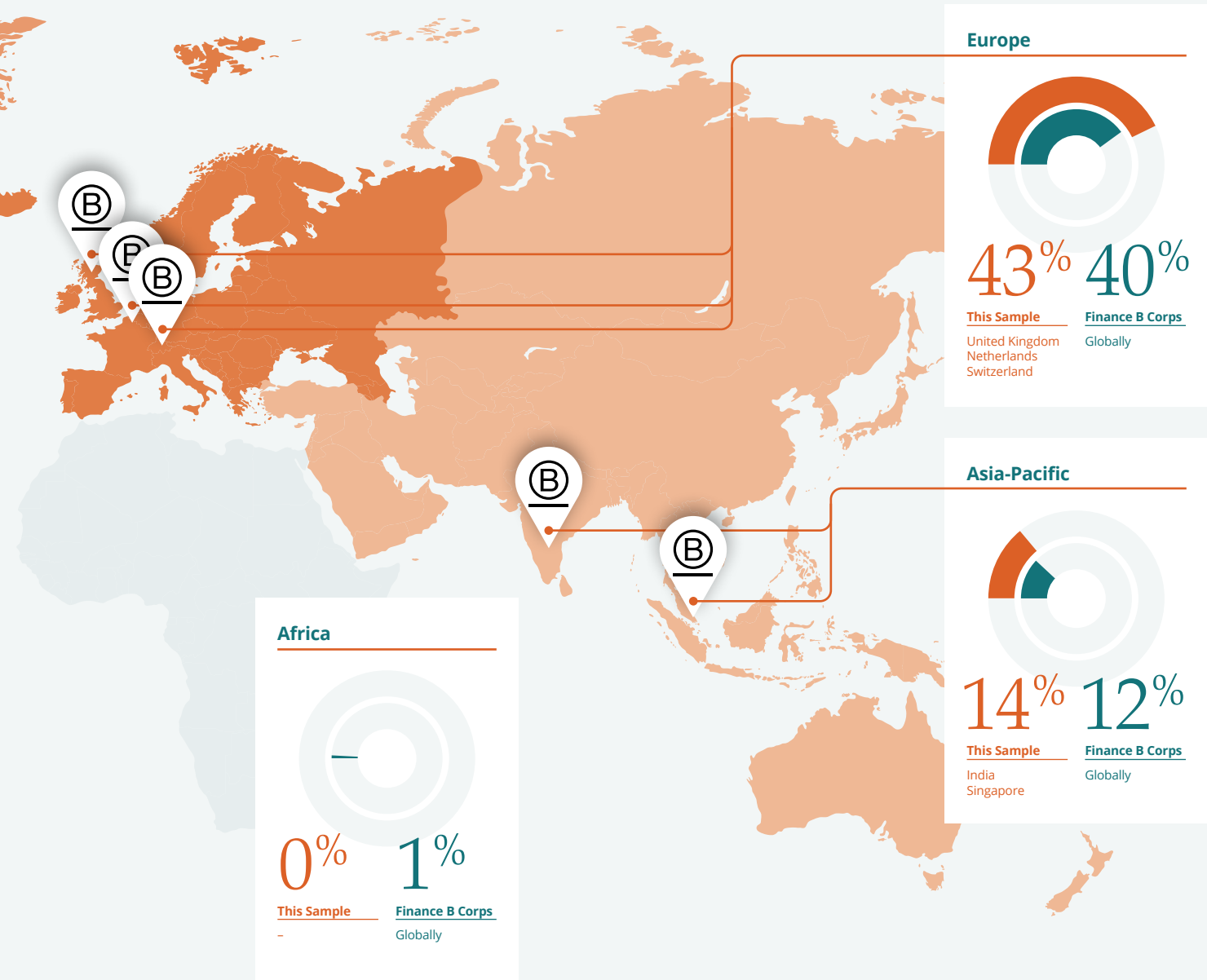


FIGURE 1.2

Types of certified organizations

36%	Private Equity
29%	Investment Advisory (equity and debt)
14%	Venture Capital
7%	Family Office
7%	Private Bank
7%	Public Equity

Note: The sample is n=14 certified investment organizations, see *About This Guide* section for further details.

Source: 'Investor's Guide to B Corp: Certification in investment organizations', Center for Sustainable Finance and Private Wealth (CSP), Department of Finance at the University of Zurich

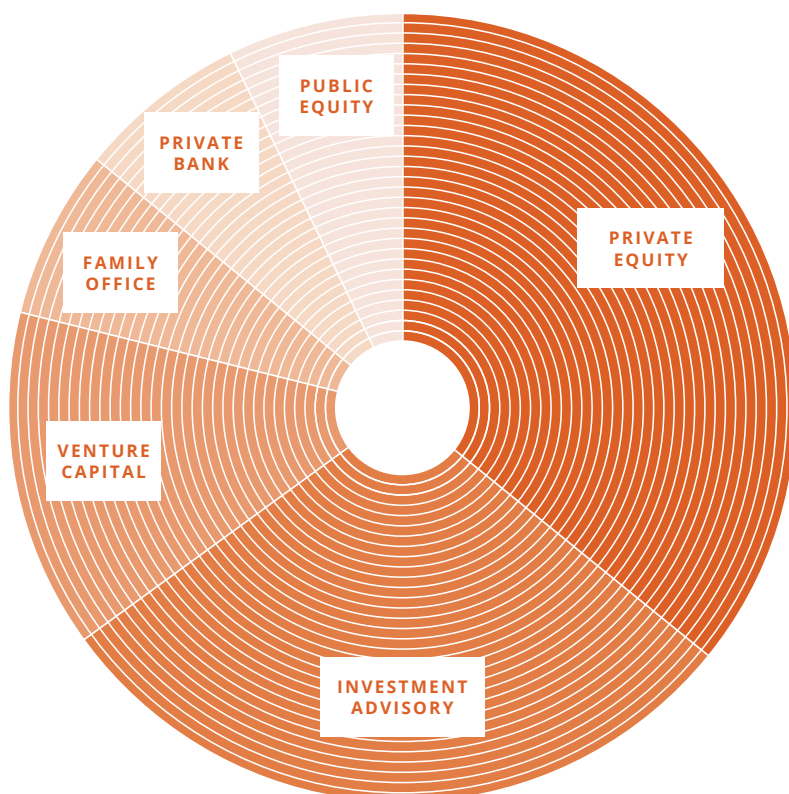
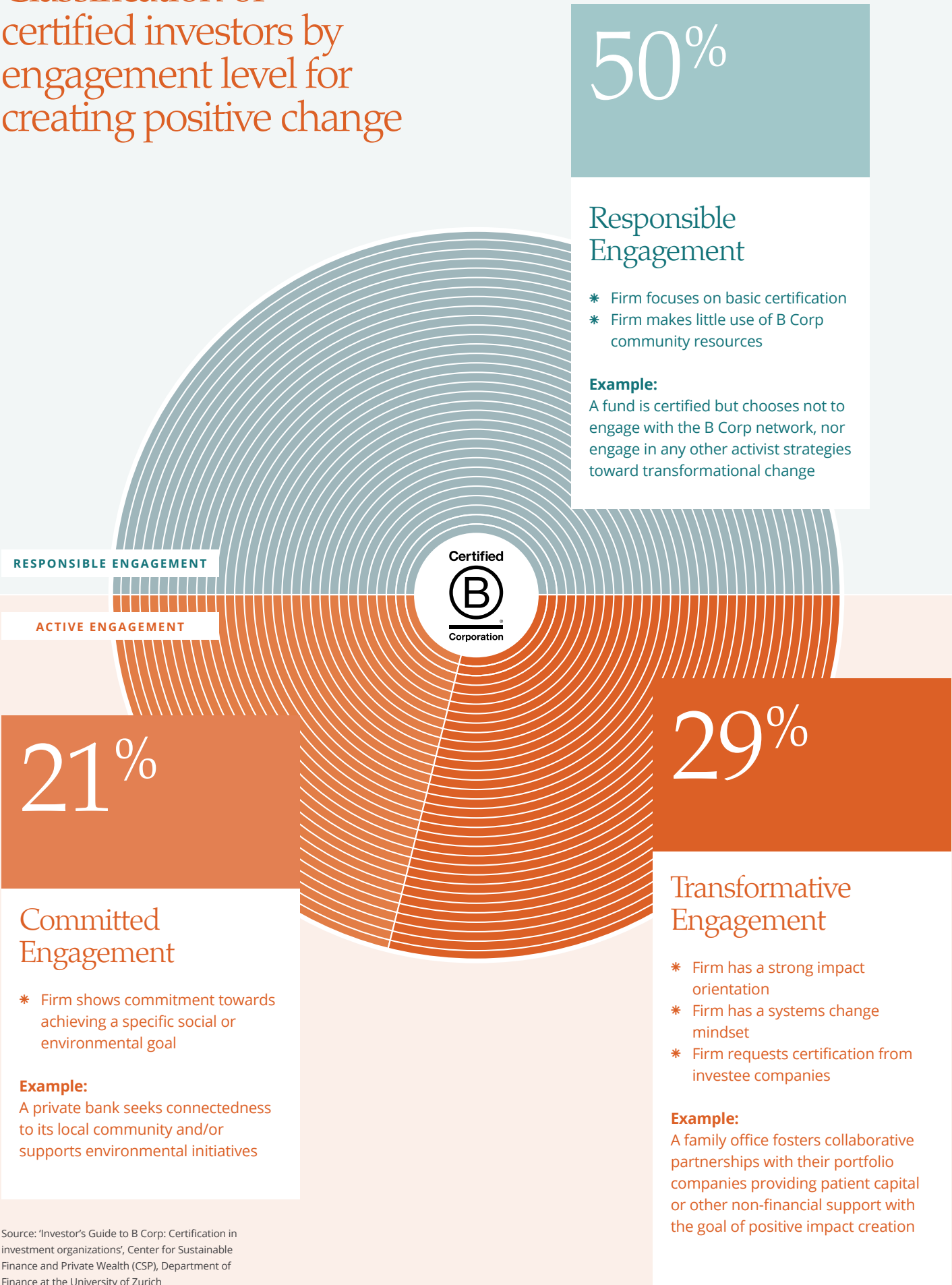


FIGURE 1.3

Classification of certified investors by engagement level for creating positive change





A desire to transform the finance industry

Since the COVID-19 pandemic, sustainable investing strategies have gained traction. Accordingly, the B Corp movement saw growing interest from firms worldwide.¹⁰

When measuring interviewees’ commitment for creating positive change overall, they reflect varying degrees of engagement. Half of the interviewed investment organizations (50%) take an approach that this reports classifies as ‘responsible’. These organizations pursue certification but choose not to engage with the B Corp network or pursue other activism to create positive impact. The other half of interviewed firms (50%) uses certification to pursue at least one social or environmental goal. Notably, 29% of the certified investment firms interviewed here are classified as ‘transformative’ organizations promoting a broader transformational change in finance (figure 1.3).



“We try to make the whole financial system more regenerative and inclusive. We create financial returns because we look for companies that are solving big environmental and social problems. So impact is not separate, it is completely integrated [in the business strategy].”

Impact Director, Private Equity Fund

Certification in investment firms



“We are putting a mirror in front of ourselves. The whole certification process was very educational for us; we valued that.”

Executive Director, Investment Advisory

2.1

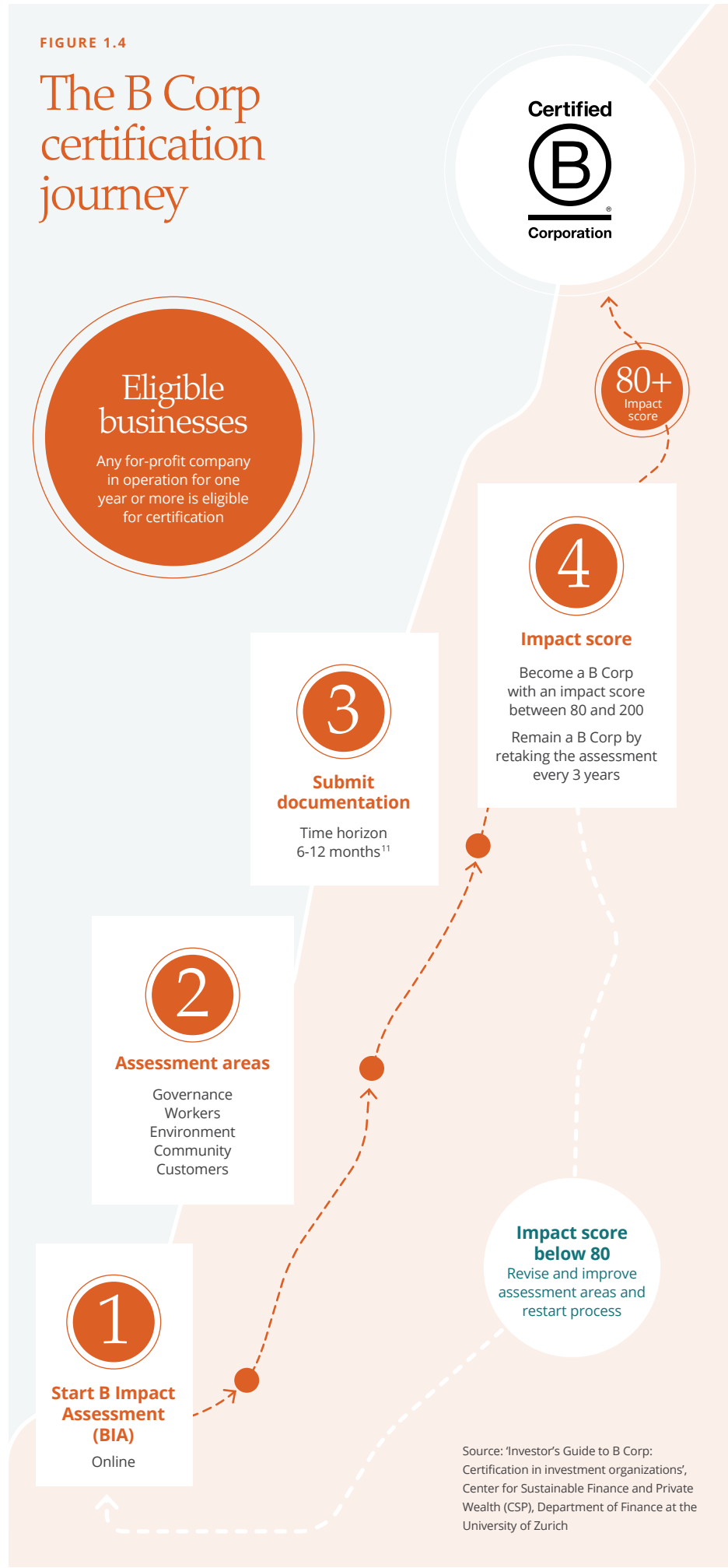
The B Corp certification process

Businesses can assess and verify their social and environmental impact by taking the B Impact Assessment (BIA). The digital questionnaire is a standardized evaluation of five core business areas including topics related to governance, workers, environment, community, and customers. The assessment is standardized but accounts for organizational differences and varying requirements depending on the organization’s jurisdiction.

When taking the BIA, organizations submit documentation to their local B Lab hub for review. Based on their performance, B Lab determines an impact score for each firm. Receiving a minimum verified score of 80 and a maximum of 200 points grants organizations the status of a certified B Corp. The assessment is repeated every three years (*figure 1.4*).¹¹

FIGURE 1.4

The B Corp certification journey



2.2 Motivation and purpose of certification

Serving as an internal self-assessment

Businesses deem B Corp certification useful on various levels. Existing research identifies the desire to be credible and transparent about being a purpose-driven business as a major driver to becoming certified.¹² Similarly, investment firms interviewed here are motivated by their high standards of accountability and their commitment to evaluate their own impact performance.

“We are articulating the highest standards for our investee companies but who is holding us up to these high standards? B Corp was a good opportunity for us to hold ourselves [accountable] to the same standards that we hold our investee companies to.”

Head of Business Operations,
Investment Advisory

The B Corp assessment can also prove valuable when reviewing an organization’s impact performance. The evaluation may help to identify gaps in operational processes that would otherwise not be detected. In addition, the B Corp assessment results can lead to a shared mission of implementing responsibilities for impact creation across teams and workstreams.

“One way to be recognized [by investors] was to become certified. In my opinion, we are completely different from any other investment fund. So my motivation was to be recognized by people who have an interest in different ways of doing finance.”

Co-Founder, Private Equity Investor

“Many organizations are struggling to make impact part of everybody’s job description. We have an entire list of who has to do what over the next three years, and we follow up on progress made.”

Head of Impact, Family Office

“Once we completed the B Corp assessment, we saw where we could make improvements. For example, we had the topic of impact investment screening very well integrated into our due diligence process but not in the exit process.”

Head of Impact, Family Office

“We are putting a mirror in front of ourselves. The whole certification process was very educational for us, we valued that.”

Executive Director, Investment Advisory

The need for an independent certification

With sustainability being increasingly relevant for society at large, the topic of impact washing has become a rising concern. Independent verification is one way to tackle deceptive communication from companies claiming a positive social or environmental impact.¹³

Certified investment firms interviewed here confirm that independence of the certifying body is critical. Receiving an

objective assessment of their business avoids the impression of impact washing and creates a trustworthy verification of their stated goals.

“We should be assessed externally. There is no point in marking your own homework.”

Head of Business Operations,
Investment Advisory

Standing out in a competitive market

Interview participants state they pursued certification to stand out in a competitive market, thereby confirming research emphasizing reputational gains from B Corp certification.¹⁴ Interviewed professionals wish to highlight their purpose-driven identity when onboarding new clients.

The B Corp literature also confirms that such signaling effects are increasingly recognized and that certified B Corp organizations tend to pursue certification even though they might not experience an immediate growth effect.¹⁵

Attracting talent

Creating a purpose-driven workplace is deemed critical when looking to appeal to younger generations. Accordingly, interviewees state that they hope certification improves hiring prospects. According to one study, more than 50% of Gen Zs and Millennials investigate a company’s environmental impact and policies before agreeing to a job offer.¹⁶

Attracting talent is particularly relevant for smaller-sized organizations and those located in less populated areas. Compared to their competitors in bigger metropolitan areas, these organizations do not have the same access to a large talent pool. They rely more on a positive perception in their respective communities and wish to make a positive contribution to local needs.

“We believe it will help on various levels, including hiring. Gen Z is very focused on working with companies who make a positive environmental impact.”

Executive Director,
Private Equity Investor

“Our CEO decided that [B Corp certification] was something that would be of interest to the organization. We operate in a small town and are very committed to our community. We had already offset 100% of our energy use through a solar array that we purchased. We also wanted to make this a great place to work.”

Director, Private Bank



2.3

Certification challenges and how to tackle them

Regulatory support is often lacking

B Corps, similar to other innovative companies, often face regulatory barriers when trying to break with established norms. Previous research has highlighted that regulatory barriers can inhibit transformation and innovation in the business world.¹⁷

So far, regulatory support for B Corps is rare. A notable exception is the Irish government which offers funding for consultants supporting B Corp certification.¹⁸ Such government-level support remains rare. At B Corp network meetings, the desire for more regulatory support in the form of tax subsidies and other incentives is a commonly stated desire.¹⁹

If you have the ambition and spirit to change things, you are often confronted with overwhelming regulation, that there is just no room left to try and do things differently.”

Director, Investment Advisory

A resource-intensive journey

B Corp certification requires a commitment to spend additional time and resources. Certification applicants are required to complete an exhaustive questionnaire that assesses business operations, policies, and impact. Managing these requirements is particularly troublesome for smaller companies and funds that tend to rely on underdeveloped or unestablished processes.

“We were starting our fund. [B Corp certification] meant we had to implement B-Corp specific policies like health insurance, leave policies, and maternity policies. We scrambled to implement all these requirements as well as raising money for the fund. It was a lot of work.”

Partnership & Stewardship Officer,
Equity Investor



Making use of various additional resources

Recognizing the workload associated with the B Corp assessment, interviewed organizations met the challenge by contacting other B Corps in their region by joining regional meetings to discuss strategies and exchange ideas. Interviewed investment professionals also state that hiring part-time staff early on in

the assessment process can be helpful to complete the assessment efficiently.

“We hired somebody who has been helping us [during the B Corp application process] two days a week. That has helped a lot. It is just many issues that one has to prove and write about.”

Head of Impact, Family Office

“Thankfully, when I spoke to people in the B Corp community, they said ‘you can do it’ and ‘here are the five things that you need.’ That support helped to guide me through it.”

Partnership & Stewardship Officer, Equity Investor

Application and impact



“We have invested in some B Corps. If we see that a company accomplished the B Corp certification, we know they have their documents in order. It doesn’t mean they are going to be a success, but at least it shows that the mission of the company includes a commitment to impact.”

Sustainable Investments Analyst, Equity Investor

3.1

Impact on investment activity

Certified firms are not prioritizing B Corp status in investee companies

When asked how certification influences the firm’s investment decisions, one interviewee explains that although it’s a positive sign, B Corp status is not a priority when building the portfolio.

Requesting certification from portfolio companies is rarely considered

Few investment organizations interviewed consider requesting B Corp certification from their portfolio companies. Several interviewees state they feel it is not their place to engage with companies by encouraging them to become certified themselves. Being the exception to the rule, one certified fund explains they actively encourage their investee companies to pursue B Corp status in the case study in Section 3.2.

“We don’t think we have the right to tell our investee companies ‘you must become B Corp certified.’ It is not how we engage with them.”

Partnership & Stewardship Officer,
Equity Investor

“We won’t be saying to firms that they have to be a B Corp to access funds from us.”

Executive Director,
Private Equity Investor

“It is the freedom of the firm to make a decision about who they are and what they wish to align themselves with.”

Partner, Investment Advisory

Another interviewee explains that in emerging markets, the B Corp movement is relatively unknown. Their organization thus faces a less equipped environment to request B Corp certification.

“Awareness about B Corp within my country’s ecosystem is very poor. People don’t know the value of it yet.”

Executive Director,
Private Equity Investor

3.2

Case study: Practical insights from four B Corps

In this case study, experienced B Corp investment firms discuss what certification means for their organization, how it impacts their investment behavior, and how they tackled the B Corp assessment.



Caroline Truong
IMPACT INVESTMENT
SPECIALIST, LIGHTROCK

Headquartered in the United Kingdom, Lightrock is a globally operating sustainable investing platform. It achieved certification in November 2023 with an impact score of 112.5.

Peter Zollinger
HEAD OF IMPACT RESEARCH,
GLOBALANCE BANK

Based in Zurich, Globalance is a privately owned Swiss private bank that first achieved B Corp certification in 2015 and has successfully re-certified twice since. Their current impact score is 111.9.

Davina Ho
STEWARDSHIP AND
PARTNERSHIP OFFICER,
PANARCHY PARTNERS

Panarchy Partners was the first Singaporean-based fund management firm to achieve B Corp certification in 2020. The fund was re-certified in 2023 with an impact score of 128.1.

Jasper Snoek
DIRECTOR,
FAIR CAPITAL PARTNERS

Fair Capital Partners is an impact investment advisory and wealth manager headquartered in the Netherlands. The company was certified in December 2022 with an overall impact score of 80.8.

Certified B Corps
require a minimum
impact score of 80,
while 200 is the
highest possible
score



What does B Corp certification mean to your organization?

Caroline: Our recent B Corp certification underscores our commitment to sustainability and showcases how impact is deeply integrated into our daily operations. It further fosters trust among investors and among the companies we invest in.

Peter: The financial industry is full of awards and schemes. They are all marketing gimmicks in my view. You can basically buy your award. We felt we needed to have something more trustworthy.

Davina: Our founder used to be the CIO at a major bank, and he wanted to do something different by launching this fund. He felt that if we are putting companies through a rigorous due diligence process, then we need to put ourselves through that as well.

Jasper: The values behind B Lab is something that we live by. We are unique because we have an extremely strict approach towards sustainability. Certification meant that we can demonstrate to clients that we are a different type of wealth manager and show them that we are intrinsically green.

Did B Corp certification change your investment behavior?

Caroline: The B Corp framework provides a structured and comprehensive approach, assessing our operations and core impact business model. It offered us a framework that prompted a deeper reflection on our investment approach, highlighting our strengths and identifying areas of improvement.

Peter: B Corp does not influence our investment behavior because impact orientation in all asset classes is just what we do. To certify we did not have to change anything except the wording of our legal charter. The whole process confirmed that we are achieving the goals we set for ourselves.

Davina: B Corp is a nice-to-have but not a decision-making factor for us when we invest—partly because our client base is not actively asking for it. Another reason is that, in our region, there are not that many B Corps yet.

Jasper: A lot of our portfolio companies in the direct investment activity have applied for B Corp certification but they made that decision independently. We don't push B Corp certification in any way. That is partly because the process can be very long and difficult.

What resources did you rely on for certification?

Caroline: We regarded the B Corp certification process as an opportunity for learning and growth. Recognizing the complexity involved, we engaged an external expert consultant to guide us through this journey. Their expertise and knowledge facilitated the process and helped us to further improve our sustainability practices.

Peter: Certification for us was not difficult because our business model fits right into what B Corp would expect from companies. However, the process is onerous and requires a lot of documentation. Having a supportive team that takes some of the legwork off, I felt that we don't need external help.

Davina: Our first certification was a major undertaking for us. We had many meetings that would last four or five hours in which we evaluated and discussed the B Corp survey. This meant that, as a team, we were extremely proud when we became B Corp certified.

Jasper: Two of my colleagues were responsible and managed the process successfully. There were longer waiting times between submitting the documents and receiving a reply. I believe that, at the time, B Lab was a little overwhelmed by the number of firms applying for certification.

Takeaways



Individual investors

considering to invest with B Corp certified investment firms

A credible commitment to a thorough assessment and to being held accountable

As a private investor looking at a certified fund, family office, or bank, B Corp certification signals that an investment firm is willing to be held accountable by an independent party. Further, the resulting documents might allow you to access, review, and integrate the B Corp assessment results in your own risk evaluations and due diligence process. This will facilitate your progress on measuring and demonstrating impact when investing sustainably.

Amplifying impact across the financial system? Not yet.

When investing with a B Corp certified investment firm, do not expect that certified funds only invest in B Corps. Findings in this report suggest that B Corp certified investment firms tend to refrain from imposing certification on portfolio companies. In turn, these organizations have limited impact on sustainability practices in other businesses. Those ripple effects might arise in the future if B Corp investment firms are pushed by clients like yourself to include certification requirements when engaging with investee companies.



Investment organizations

looking to become B Corp certified

Embrace purpose, attract talent and clients

If you feel your investment fund, family office, bank, or advisory firm has yet to develop a more purpose-driven strategy, the B Corp certification will be a credible start for your organization. When undertaking the B Corp assessment, you will dive deep into an analysis of your business operations, allowing you to implement sustainable business practices across core business areas and teams. This will likely strengthen the team culture and could help you to attract talent and clients in an increasingly competitive and specialized market.

Take a challenge

The resource-intensive journey to achieve B Corp status will require you and your team to be ready to do things differently. Given the additional workload for organizations that wish to become certified, you might want to hire additional supporting staff early on in the process. Equally, engaging with the B Corp network to connect with other inspiring businesses will make a difference when tackling this assessment for the first time.



Certified B Corp investment firms

Stay connected for lasting impact

If you are a certified firm, continue to evaluate the most impactful strategies for your organization and upgrade your vision for impact. This report finds that certified organizations are already using the B Corp assessments to re-organize their operations. Continue to tap into the B Corp network, share your experiences, help others, and explore opportunities to collaborate so you can keep learning about best practices to achieve a positive impact.

Consider requesting an impact strategy from portfolio companies

Consider engaging with current and future investee companies and encourage them to develop their own impact strategy. As an investment organization you are likely to exert influence on businesses looking to attract or retain funding. Such elevated engagement will strengthen your knowledge about the businesses in your portfolio and is likely to improve your own risk management. Pushing your active engagement will also open up opportunities for system level change—an increasingly relevant goal in the sustainable investing space.



Policymakers and regulators

Incentivize purpose-driven organizations

As a policymaker or regulator, you can ease pressure for firms seeking B Corp status. Setting tax incentives, offering direct subsidies, and other regulatory incentives that promote wider B Corp certification will likely alleviate the resource intensity for firms considering certification. Such political and regulatory support for B Corp certification, if implemented effectively, will accelerate the creation of more purpose-driven organizations in finance, potentially with positive ripple effects throughout the financial and economic system overall.

1. B Corp Impact Data, B Lab, accessible at <https://data.world/blab/b-corp-impact-data> [2 Jan 2024]
2. Previous reports have analyzed B Corps but none so far address the role of B Corp certified investment firms, see for example:
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Definitions

B Lab

B Lab is a non-profit organization founded in 2006 to promote and verify corporate social and environmental responsibility. It provides the framework and support for businesses to become certified B Corporations, encouraging ethical and sustainable business practices.

BIA, B Impact Assessment (BIA)

An online questionnaire developed by B Lab to evaluate and track a company's social and environmental performance. It assesses various aspects of a business, such as governance, workers, community, and the environment. The BIA is renewed every three years and assigns a specific point value, which must aggregate to a minimum of 80 and a maximum of 200 for successful certification.

AuM

Assets under Management (AuM) refers to the total market value of all financial assets, e.g. stocks, bonds, or cash, that an investment firm or financial institution manages on behalf of its clients. AuM is a key metric used in the financial industry to gauge the size of investment portfolios.

Sustainability

Sustainability refers to the ability to meet the needs of the present without compromising the ability of future generations to meet their own needs. It involves the responsible and balanced use of resources, the consideration of environmental impacts, and the promotion of social and economic well-being to create a harmonious and enduring system that supports both current and future generations.

Impact

In the context of investment and finance, positive impact creation usually refers to the measurable effects that an investment or financial decision has on social, environmental, or governance factors (ESG). Impact investing is an investment approach to generate positive social and environmental outcomes alongside financial gains.

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